

Redwood City Annual and Five-Year Development Impact Fee Report

Fiscal Year Ending June 30, 2025



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INTRODUCTION AND BACKGROUND

In California, State legislation sets certain legal and procedural parameters for the charging of development impact fees. This legislation was passed as AB 1600 by the California Legislature and is now codified as California Government Code Sections 66000 *et seq.* ("Mitigation Fee Act"). This State law went into effect on January 1, 1989.

Requirements for Development Impact Fee Reporting

The Mitigation Fee Act imposes certain accounting and reporting requirements with respect to the development impact fees collected. The fees must be deposited into separate accounts to avoid comingling the fees with the City's other revenues or funds. Interest in each development fee fund or account must be credited to that fee fund or account and used only for those purposes for which the fees were collected.

The Mitigation Fee Act also requires any local agency that imposes development impact fees to prepare an annual report and a five-year report that provide specific information about those fees. This report serves both of those functions and has been prepared for the City of Redwood City for the fiscal year (FY) ending June 30, 2025, in accordance with the provisions of the California Government Code Sections 66006 (b) and 66001 (d).¹

In addition to development impact fees, the City also collects several in-lieu fees and capacity fees. In-lieu fees are an option offered to developers "in lieu," or in place of, providing specific on-site public benefits such as on-site parking or public art requirements. Capacity fees are typically related to utilities such as water or wastewater and are used to cover costs of existing and future public facilities that are of proportional benefit to new development. This report also includes the requisite reporting information for the City's in-lieu fees and capacity fees.

Annual Report

California Government Code Section 66006 (b) requires each local agency that imposes development impact fees under the Mitigation Fee Act to prepare an annual report providing specific information about those fees for the previous fiscal year. Specifically, Section 66006 (b) requires that for each separate account, the local agency shall make available to the public the information shown below for the most recent fiscal year.

- 66006 (b) (1) (A): A brief description of the type of fee in the account or fund.
- 66006 (b) (1) (B): The amount of the fees.

¹ The water and wastewater capacity and facility fees are subject to the reporting requirements in Government Code section 66013(d), rather than the requirements in sections 66006(b) and 66001(d). Since the information required by sections 66006(b) and 66001(d) encompasses the information required by 66013(d), the City is complying with the water and wastewater capacity and facilities fee reporting requirements by including them in this AB 1600 report.

- 66006 (b) (1) (C): The beginning (July 1) and ending (June 30) balance of a particular impact fee fund or account.
- 66006 (b) (1) (D): The amount of fees collected and interest earned by fund or account.
- 66006 (b) (1) (E): An identification of each public improvement upon which fees were expended and the amount of expenditures on each improvement including the total percentage of the cost of the public improvement that was funded with fees.
- 66006 (b) (1) (F):
 - (i) An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement.
 - (ii) An identification of each public improvement identified in a previous report pursuant to clause (i) and whether construction began on the approximate date noted in the previous report.
 - (iii) For a project identified pursuant to clause (ii) for which construction did not commence by the approximate date provided in the previous report, the reason for the delay and a revised approximate date that the local agency will commence construction.²
- 66006 (b) (1) (G): A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended; and, in the case of an interfund loan, the terms of the loan, including the repayment schedule for the loan, and the rate of interest that the account or fund will receive on the loan.
- 66006 (b) (1) (H): A summary of any refunds made, and their respective amount, due to sufficient funds being collected to complete financing of scheduled public improvements and the amount of reallocation of funds made due to administrative costs of refunding unexpended revenues exceeding the amount to be refunded.

State law requires the City to prepare and make available to the public the above information within 180 days after the last day of each fiscal year. The City Council must review the annual report at a regularly scheduled public meeting not less than fifteen days after the information is made available to the public. This report was posted on the City's website and made available for public review at the Library and City Clerk's Office on December 5, 2025.

Five-Year Report

California Government Code Section 66001 (d) (1) requires the local agency make all the following findings every fifth year with respect to that portion of the account remaining unexpended, whether encumbered to a specific project or remaining unencumbered in an impact fee fund.

² Subsections (ii) and (iii) were added to section 66006(b)(1)(F) by AB 516, which took effect January 1, 2024.

- 66001 (d) (1) (A): Identify the purpose to which the fee is to be put.
- 66001 (d) (1) (B): Demonstrate a reasonable relationship between the fee and purpose for which it is charged.
- 66001 (d) (1) (C): Identify all sources and amounts of funding anticipated to complete financing in incomplete improvements.
- 66001 (d) (1) (D): Designate the approximate dates on which the funding is expected to be deposited into the appropriate account or fund.

Establishing a Reasonable Relationship Between the Fee and the Purpose for Which It Is Charged (Nexus)

Development impact fees provide the proportionate share of the funding for the City's capital facilities needs that can be reasonably attributed to new growth in the City. The revenue from development impact fees, in turn, provides the transportation facilities, parkland and park improvements, affordable housing, and other improvements necessary to mitigate the impacts of new residential, commercial, and industrial development on the City of Redwood City and its residents and businesses. To ensure a reasonable relationship between the fee and the purpose for which it is charged, development impact fees must be supported by a Nexus Study.³ A Nexus Study identifies the reasonable relationship between the fee and the purpose based on mathematical calculations that consider future development, the facilities and infrastructure needed to serve that future development, and the estimated costs of those improvements. These mathematical calculations establish the relationship between contemplated future development, the facilities needed to serve that development, and the estimated costs of those improvements based on the City's Capital Improvement Programs (CIP). The fees are then used to fund facilities and infrastructure necessary to serve new development and/or benefit the broader community.

Funding of Infrastructure

The State of California Government Code Section 66002 states that local agencies that developed a fee program may adopt a Capital Improvement Program indicating the approximate location, size, and timing of projects, plus an estimate for the cost of all facilities or improvements to be financed by fees.

The City of Redwood City has developed and adopted a CIP, which is updated every year during the normal fiscal budget process. The City also maintains a Five-Year Capital Improvement Plan which offers a longer-term outlook on needed capital improvements. This Plan serves as a fiscal and strategic tool to plan, fund, prioritize and monitor capital improvements in the Community.

The City's current, adopted FY 2025-30 Five-Year Capital Improvement Program can be found on the City's website at www.RedwoodCity.org/CIPProjects.

³ AB 602 requires Nexus Studies to be complete prior to the adoption of each impact fee and must be updated every eight years.

As a CIP project is identified, the project is evaluated to determine the portion of the project that will serve existing residents and businesses versus new development. This analysis is used to determine the portion of the project that is eligible to receive impact fee funding. The anticipated funding and commencement dates for projects are indicated and may be adjusted, as needed, to reflect the needs of the community, funding constraints, and development priorities. Any modification of impact fee funding within the CIP requires Council action. Mid-year CIP budget adjustments may occur as needed wherein staff seeks City Council approval to modify the CIP list of projects, or to modify the budget allocated to specific CIP projects.

AB 602 provides further specification and requires adoption of a CIP along with the adoption of a fee program for all fee programs adopted on or after January 1, 2022. Under Government Code 66016.5, AB 602 requires that "large jurisdictions shall adopt a capital improvement plan as a part of the nexus study." The City has adopted a CIP for its Parks and Transportation Impact Fee programs pursuant to Government Code sections 66016.5 and 66002.

ANNUAL REPORT

Description of Impact Fee Programs

66006(b)(1)(A) and 66013(d)(1)

The City has three development impact fee programs. Per City policy, the Parks Impact Fee and Affordable Housing Impact Fee are charged to new residential and nonresidential developments that meet certain criteria, while the Transportation Impact Fee is charged to all new development.

- 1. Transportation Impact Fee.⁴** The transportation impact fee is a one-time charge that the City charges on new residential and nonresidential development to fund a proportionate share of the cost of transportation improvement projects and transportation system improvements necessary to mitigate the transportation impacts of new development within Redwood City. Improvements include construction of traffic and multi-modal transportation improvements and traffic reduction measures. The Program provides an equitable method for allocating the cost of reasonable and necessary transportation improvements between the public and private sector, in accordance with the intent and purpose of the Transportation Impact Fee Ordinance as set forth in Redwood City Municipal Code Section 18.244.
- 2. Park Impact Fee.⁵** The Park Impact Fee is a one-time charge that the City charges on new residential and non-residential development to fund the installation, acquisition, construction, and improvement of park improvements listed in the Park Impact Fee Project List, including the acquisition of land necessary for such improvements. The purpose is to augment recreational opportunities through the improvement of the City's parks system to compensate for increased demand for City parks brought about by new development and the associated increase in population.
- 3. Affordable Housing Impact Fee.⁶** The Affordable Housing Impact Fee is a one-time charge that the City charges on new non-residential development with more than five thousand (5,000) square feet of net new construction or residential development projects between five (5) to nineteen (19) units. The fee is used to mitigate the impact of development projects on the need for affordable housing in the City, by fully funding or subsidizing the construction, rehabilitation and/or preservation of housing that is affordable to extremely, very low, low, and moderate incomes, consistent with the goals and policies contained in the City's Housing Element. The fee may also be used to fund the preparation of related technical studies.

⁴ https://library.municode.com/ca/redwood_city/codes/city_code?nodeId=CH18LOIMPL_ARTXVTRIMFE

⁵ https://library.municode.com/ca/redwood_city/codes/city_code?nodeId=CH18LOIMPL_ARTXVIPAIMFE

⁶ https://library.municode.com/ca/redwood_city/codes/zoning_code?nodeId=ART29REAFHO_29.5PAHOIMFE

Description of In-Lieu Fee Programs

The City's three in-lieu fee programs are Downtown Parking, Affordable Housing, and Art in Public Places. These in-lieu fees provide developers with an option to satisfy on-site requirements with a one-time payment.

- 1. Downtown Parking In-Lieu.⁷** The Downtown Parking In-Lieu Fee allows new developments located within the Downtown Parking Zone, subject to the eligibility requirements of the program, to provide a fee payment in lieu of providing parking spaces onsite. The fee is used to expand the capacity of parking spaces for public use within the Downtown Parking Zone and may also be used to manage demand for parking through the creation of a Transportation Demand Management program.
- 2. Affordable Housing In-Lieu.⁸** The City accepts payment of an Affordable Housing In-Lieu Fee for fractional units resulting from the calculation of inclusionary requirements. The City may also accept payments for an Affordable Housing In-Lieu Fee in place of construction of on-site units if certain findings can be made pursuant to Section 29.8.B. of the City's zoning code. The fee is established by resolution of the City Council and updated from time to time. Affordable housing in-lieu fees shall not exceed the fractional cost of providing an affordable unit. The in-lieu fee and the Affordable Housing Impact Fee are currently set at the same rate because the impact fee represents the proportionate costs of providing an affordable unit. Similar to the Affordable Housing Impact Fee, the Affordable Housing In-Lieu fee is used to fully fund or subsidize the construction of housing that is affordable to extremely low, very low, low, moderate incomes, consistent with the goals and policies contained in the City's Housing Element and may also be used to fund the preparation of related technical studies.
- 3. Art in Public Places.⁹** The Art-in-Public Places In-Lieu Fee allows new commercial developments exceeding 50,000 square feet to make a payment instead of providing an on-site art installation. The purpose of the Fee is to support art in public places by maintaining, refurbishing, preserving, or providing public art.

Description of Capacity Fee Programs

In FY 2023-24, the City started with four capacity fees. On January 22, 2024, Ordinance 2533 updated and amended these to three capacity fees. Capacity fees are typically related to utilities such as water or wastewater and are used to cover costs associated with expanding the associated infrastructure systems to accommodate increased demand by new development.

⁷ https://library.municode.com/ca/redwood_city/codes/zoning_code?nodeId=ART30OREPALO_30.3EUPAFE

⁸ https://library.municode.com/ca/redwood_city/codes/zoning_code?nodeId=ART29REAFHO_29.4REINAFHO

⁹ Section D of https://library.municode.com/ca/redwood_city/codes/city_code?nodeId=CH45PUAR_S45.090PRPUVIARCEPRDE

- 1. Wastewater Treatment Capacity Fee.¹⁰** The Wastewater Treatment Capacity Fee (also sometimes referred to as the “Sewer Treatment Capacity Fee”) fee is a one-time charge that the City collects on behalf of Silicon Valley Clean Water (“SVCW”). This passthrough fee is imposed on residential and non-residential customers that require new or expanded connections to the City’s wastewater system. The purpose of this fee is to provide funding to compensate SVCW for the additional capacity required for new or expanded wastewater connections within the City. Wastewater Treatment Capacity fees are deposited into Account 688 and passed through to Silicon Valley Clean Water at the close of each fiscal year. As such, the Water Treatment Capacity account balance is \$0 each year, and the City does not direct or control project-specific expenditures.
- 2. Wastewater Collection Capacity Charge.¹¹** The Wastewater Facilities Fee was modified by Ordinance 2533 adopted on January 22, 2024, and was renamed the Wastewater Collection Capacity Charge (also sometimes referred to as the “Sewer Collection Capacity Charge). It is a one-time charge that is imposed on new development to fund a proportionate share of the costs of existing and future wastewater system facilities and assets that are reasonably necessary to provide wastewater collection capacity to new development. Eligible expenditures are included in the City’s CIP and include the construction and improvement of existing and future sewer facilities such as treatment plants, pipelines, or other facilities.
- 3. Water Capacity Fee.¹²** Ordinance 2533 was adopted on January 22, 2024, to include the purposes of the former Water Capacity Charge and the former Water Facilities Fee. This fee is a one-time charge that the City imposes on residential and non-residential customers that funds a proportionate share of the costs of existing and future water system facilities and assets that are reasonably necessary to provide potable and recycled water capacity for new development.

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https://library.municode.com/ca/redwood_city/codes/city_code?nodeId=CH27SASEFA_ARTIXFECH_S27.101WATR_CACHWACOCACH

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https://library.municode.com/ca/redwood_city/codes/city_code?nodeId=CH27SASEFA_ARTIXFECH_S27.101WATR_CACHWACOCACH

12

https://library.municode.com/ca/redwood_city/codes/city_code?nodeId=CH38WASYRE_ARTIIICOCAUSFE_S38.12_WACAFE

Current Fee Schedules

66006(b)(1)(B)

The following section sets forth the fees that were in effect during the fiscal year ending June 30, 2025.

Development Impact Fees

Transportation Impact Fees

The fees in effect during the fiscal year ending June 30, 2025, are presented below in **Table 1**.

Table 1 FY 2024-25 Transportation Impact Fees

Item	Non-Downtown Fee		Downtown Fee	
	July 1, 2024 - June 30, 2025		July 1, 2024 - June 30, 2025	
Residential Uses				
Single Family Market Rate	\$3.22	per livable square foot	\$2.00	per livable square foot
Single Family Affordable	\$2.00		\$2.00	
Multi-Family Market Rate	\$2.31	per livable square foot	\$1.43	per livable square foot
Multi-Family Affordable	\$1.43		\$1.43	
Non-Residential Uses				
Office/Research and Development	\$6.58	per gross building square foot	\$4.94	per gross building square foot
Medical/Dental Office Building	\$21.87	per gross building square foot	\$16.40	per gross building square foot
Industrial	\$2.96	per gross building square foot	\$2.22	per gross building square foot
Entertainment Venue	\$47.43	per gross building square foot	\$35.57	per gross building square foot
Religious Facility	\$2.96	per gross building square foot	\$2.22	per gross building square foot
Childcare Facility	\$0.00		\$0.00	
General Retail (Shopping Center)	\$4.50	per leasable building square foot	\$3.38	per leasable building square foot
High Intensity Retail	\$56.79	per leasable building square foot	\$42.59	per leasable building square foot
Hotel/Lodging	\$4,853.00	per room	\$3,640.00	per room
School	\$1,178.00	per student	\$883.50	per student
Service Station	\$41,792.00	per fueling station	\$31,344.00	per fueling station

Park Impact Fees

In May 2022, the City Council adopted updated Parks Impact Fees supported by the Park Impact Fee Nexus Study (2022). The fees in effect during the fiscal year ending June 30, 2025, are presented below in **Table 2**.

Table 2 FY 2024-25 Parks Impact Fees

Item	July 1, 2024 - June 30, 2025
Residential Uses	
Single Family	\$47,414 per unit
Multi-Family	\$40,710.80 per unit
Bedroom Addition	Not Applicable
ADU (over 750 sqft)	Not Applicable
Non-Residential Uses	
Office	\$7.86 per sq/ft
Commercial	\$5.40 per sq/ft
Industrial	\$2.54 per sq/ft
Hotels	\$3,325.76 per hotel room

Affordable Housing Impact Fees

The fees in effect during the fiscal year ending June 30, 2025, are presented below in **Table 3**.

Table 3 FY 2024-25 Affordable Housing Impact Fees

Item	Affordable Housing Impact Fee per Sq.Ft. July 1, 2024 - June 30, 2025
Residential Uses	
Single Family	\$25.00
Townhome/Duplex/Triplex	\$25.00
Condos and Apartments	\$20.00
Non-Residential Uses	
Office	\$23.62
Medical Office	\$23.62
Research and Development	\$23.62
Hotel	\$5.91
Retail	\$5.91
Restaurant	\$5.91
Services	\$5.91

In-Lieu Fees

Downtown Parking In-Lieu Fee

The City may accept payment of a Parking In-Lieu Fee of required onsite parking if certain findings can be made. The in-lieu fee in effect during the fiscal year ending June 30, 2025, is \$25,000 per two spaces not provided on-site.

Affordable Housing In-Lieu Fee

The City may accept payment of Affordable Housing In-Lieu fees for fractional units. The in-lieu fees are not to exceed the fractional cost of providing an affordable unit. The affordable housing in-lieu fee in effect during the fiscal year ending June 30, 2025, is the same amount as the Affordable Housing Impact Fee rates.

Art-In-Lieu Fee

The City may accept payment of a fee in-lieu of providing publicly accessible onsite art that is equal in value to at least one (1) percent of the project's construction valuation for commercial developments that have a gross floor area of 50,000 square feet or more. The Art In-Lieu fee is required to match or exceed this amount in the fiscal year ending June 30, 2025.

Capacity Fees

Wastewater Treatment Capacity Fee

The fees in effect during the fiscal year ending June 30, 2025, are presented below in **Table 4**.

Table 4 FY 2024-25 Wastewater Treatment Capacity Fee

Item	Wastewater Treatment Capacity Fee	
	July 1, 2024 - June 30, 2025	
<u>Residential</u>		
Single Family, Condos and Townhouses	\$2,135.70	per unit
Duplex	\$3,480.40	per unit
Multi-Dwelling Unit (rental) Structures/ In-Law Dwelling Unit	\$1,423.80	per unit
Single-family residence		
Multi-family dwelling unit		
Accessory Dwelling Unit [1]		
<u>Non-Residential</u> [2]		
Office/ Commercial (other than retail)	\$0.95	per square foot
Motel	\$1,265.60	per room
Hotel	\$1,463.35	per room
Restaurants	\$229.39	per seat
General Hospitals	\$2.06	per square foot
Medical Offices (other than hospitals)	\$1.34	per square foot
All Commercial customers		
<u>Other</u>	To be determined on a case-by- case basis for similar type of building uses	

[1] Non-residential fees are calculated by multiplying \$7.91 by the estimated volume of wastewater discharge per day (V).

Wastewater Collection Capacity Charge

The fees in effect during the fiscal year ending June 30, 2025, are presented below in **Table 5**.

Table 5 FY 2024-25 Wastewater Collection Capacity Charge

Item	Wastewater Collection Capacity Charge	
	July 1, 2024 - June 30, 2025	
Residential		
Commercial [1]		
Single-family residence	\$3,166	per dwelling unit (DU)
Multi-family dwelling unit	\$2,333	per dwelling unit (DU)
All Commercial customers	\$3,166	per equivalent dwelling unit (EDU) [2]
Accessory Dwelling Unit [3]	\$1.78	per square foot (SF)[3]

[1] Calculated by dividing \$960 by the 2,000 square feet (dwelling unit equivalent). Minimum fee is \$960.

[2] Commercial / Industrial customers calculate total EDU by dividing the ratio of estimated volume of wastewater discharged by 128 gpd.

[3] Accessory Dwelling Units (ADUs) fees are calculated based on the average square footage of an existing single-family dwelling unit in Redwood City, which is 1,780 livable square feet. ADUs will be charged capacity fees in accordance with Gov. Code Section 65852.2(f)(5).

Water Capacity Fee

The fees in effect during the fiscal year ending June 30, 2025, are presented below in **Table 6**.

Table 6 FY 2024-25 Water Capacity Fee

Item	Water Capacity Fee July 1, 2024 - June 30, 2025
Single-Family Residence [1]	\$5,679
Multi Family/Commercial Customers	
5/8" meter size	\$5,679
3/4" meter size	\$8,519
1" meter size	\$14,198
1-1/2" meter size	\$28,396
2" meter size	\$45,433
3" meter size	\$123,521
4" meter size	\$212,966
6" meter size	\$454,328
8" meter size	\$795,075
10" meter size	\$1,192,612
Accessory Dwelling Unit [2]	\$3.19 per square foot

[1] Single-family residences with a meter sized 1" or smaller will be charged a fee of \$5,679 per meter. Meter ratings are based on an average of available meter types for each meter size within the City

[2] The fees for Accessory Dwelling Units (ADUs) were calculated based on the average square footage of an existing single-family dwelling unit in Redwood City, which is 1,780 livable square feet. ADUs will be charged capacity fees in accordance with Gov. Code. Section 65852.2(f)(5)

Annual Financial Summary

The following tables respond to Government Code Section 66006(b)(1)(C), (D), and (E) and for the water and wastewater fees Section 66013(d)(2), (3), and (4)(A) and (B).¹²

Development Impact Fee Accounts

Transportation Impact Fees

Table 7 Transportation Impact Fee Account: Statement of Revenue, Expenditures, and Changes in Account Balance for the Fiscal Year Ending June 30, 2025

Description	FY 2024-25
REVENUES	
Fees	44,045
Interest [1]	877,299
Deferred Revenue	-
Other Revenue	-
Total Revenues	<u>\$921,344</u>
EXPENDITURES	
Capital Improvements	-
Other Expenditures [2]	1,644
Total Expenditures	<u>\$1,644</u>
REVENUES OVER (UNDER) EXPENDITURES	\$919,700
Balance, Beginning of Year [3]	\$21,763,694
Balance, End of Year	\$22,683,394

[1] Interest is calculated on end-of-year balance

[2] Other expenditures include professional/technical consulting services and staff oversight to prepare the Traffic Impact Fee Nexus Study.

[3] FY 2024-25 beginning of year balance is the end of year balance as reported in FY 2023-24 AB 1600 Annual Report.

¹² 66013(d) is specific to water and wastewater capacity and facility fees.

Table 8 Transportation Impact Fee: FY 2024-25 Expenditures

Improvement Name	FY 2024-25 Account Expenditures	Total Project Costs	Approximate Date of Project Commencement	FY 2024-25 Expenditures as % of Total Costs
<u>CAPITAL EXPENDITURES</u>				
No Capital Expenditures	\$0	N/A	N/A	N/A
Subtotal, Capital Expenditures	\$0			
<u>OTHER EXPENDITURES</u>				
Traffic Impact Fees Study (71093)	\$1,644			
Subtotal, Other Expenditures	\$1,644			
TOTAL EXPENDITURES	\$1,644			

Park Impact Fees

Table 9 Parks Impact Fee Account: Statement of Revenue, Expenditures, and Changes in Account Balance for the Fiscal Year Ending June 30, 2025

Description	FY 2024-25
REVENUES	
Fees	168,925
Interest [1]	44,817
Deferred Revenue	-
Other Revenue [2]	5,059,618
Total Revenues	\$5,273,361
EXPENDITURES	
Capital Improvements	43,708
Loan Payments	-
Other Expenditures	-
Total Expenditures	\$43,708
REVENUES OVER (UNDER) EXPENDITURES	\$5,229,653
Account Balance, Beginning of Year [3]	(\$4,070,865)
Account Balance, End of Year	\$1,158,788

[1] Zero interest in FY 2024-25 due to negative balance as of end of year

[2] Other Revenue includes an interfund loan transfer from the General Fund in the amount of \$5,059,618

[3] FY 2024-25 beginning of year balance is the end of year balance as reported in FY 2023-24 AB 1600 Annual Report.

Table 10 Parks Impact Fee: FY 2024-25 Expenditures

Improvement Name	FY 2024-25 Account Expenditures	Total Project Costs	Approximate Date of Project Commencement	FY 2024-25 Expenditures as % of Total Costs
<u>CAPITAL EXPENDITURES</u>				
Jardin De Ninos Park Expansion	\$43,708	\$300,000	2024	14.6%
Subtotal, Capital Expenditures	\$43,708			
<u>OTHER EXPENDITURES</u>				
No Other Expenditures	\$0			
Subtotal, Other Expenditures	\$0			
TOTAL EXPENDITURES	\$43,708			

Affordable Housing Impact Fees

Table 11 Affordable Housing Impact Fee Account: Statement of Revenue, Expenditures, and Changes in Account Balance for the Fiscal Year Ending June 30, 2025

Description	FY 2024-25
REVENUES	
Fees	-
Interest [1]	210,117
Deferred Revenue	-
Other Revenue	-
Total Revenues	\$210,117
EXPENDITURES	
Capital Improvements	-
Loan Payments	-
Other Expenditures [2]	23,078
Total Expenditures	\$23,078
REVENUES OVER (UNDER) EXPENDITURES	\$187,039
Account Balance, Beginning of Year	\$7,941,631
Adjustment for Residual Receipt Loans [3]	\$2,695,886
Adjusted Account Balance, Beginning of Year [4]	\$5,245,745
Account Balance, End of Year [5]	\$5,432,784

[1] Interest calculated on end of year balance.

[2] Other expenditures include professional/ technical consulting services and staff oversight of the Affordable Housing Ordinance update.

[3] Reflects residual receipt loans for 1512 Stafford – HIP Housing \$1,099,000; 3752-3770 Rolison Rd (Mosaic Gardens) – MidPen \$1,084,472; and, 353 Main Street – ROEM \$512,414.

[4] FY 2024-25 adjusted account beginning of year balance is the end of year balance as reported in FY2023-24 AB 1600 Annual Report.

Table 12 Affordable Housing Impact Fee: FY 2024-25 Expenditures

Improvement Name	FY 2024-25 Account Expenditures	Total Project Costs	Approximate Date of Project Commencement	FY 2024-25 Expenditures as % of Total Costs
<u>CAPITAL EXPENDITURES</u>				
No Capital Expenditures	\$0	N/A	N/A	N/A
Subtotal, Capital Expenditures	\$0			
<u>OTHER EXPENDITURES</u>				
Affordable Housing Ordinance Administration & Update [1]	\$23,078			
Subtotal, Other Expenditures	\$23,078			
TOTAL EXPENDITURES	\$23,078			

[1] Expenditures include professional/ technical consulting services and staff oversight of the Affordable Housing Ordinance update.

In-Lieu Fee Accounts

Downtown Parking In-Lieu

Table 13 Downtown Parking In-Lieu Account: Statement of Revenue, Expenditures, and Changes in Account Balance for the Fiscal Year Ending June 30, 2025

Description	FY 2024-25
REVENUES	
Fees	-
Interest [1]	382,514
Deferred Revenue	-
Other Revenue	-
Total Revenues	\$382,514
EXPENDITURES	
Capital Improvements	52,776
Loan Payments	-
Other Expenditures	7,773
Total Expenditures	\$60,549
REVENUES OVER (UNDER) EXPENDITURES	\$321,965
Account Balance, Beginning of Year [2]	\$9,568,306
Account Balance, End of Year	\$9,890,271

[1] Interest calculated on end of year balance.

[2] FY 2024-25 beginning of year balance is the end of year balance as reported in FY 2023-24 AB 1600 Annual Report.

Table 14 Downtown Parking In Lieu Fee: FY 2024-25 Expenditures

Improvement Name	FY 2024-25 Account Expenditures	Total Project Costs	Approximate Date of Project Commencement	FY 2024-25 Expenditures as % of Total Costs
<u>CAPITAL EXPENDITURES</u>				
Garage Parking System	\$52,776	\$700,000	FY 2023-24	7.5%
Subtotal, Capital Expenditures	\$52,776			
<u>OTHER EXPENDITURES</u>				
Development of Transportation Management Association [1]	\$7,773			
Subtotal, Other Expenditures	\$7,773			
TOTAL EXPENDITURES	\$60,549			

[1] The development of a Transportation Management Association (TMA) will help improve the efficiency of parking facilities to expand the availability of parking. This would be done through various measures such as procuring and managing shared parking agreements to open new parking to the public, management of valet operations in existing facilities to expand their use, and implementing measures such as carpools and shuttles to reduce parking demand.

Affordable Housing In-Lieu

Table 15 Affordable Housing In-Lieu Account: Statement of Revenue, Expenditures, and Changes in Account Balance for the Fiscal Year Ending June 30, 2025

Description	FY 2024-25
REVENUES	
Fees	-
Interest [1]	29,657
Deferred Revenue	-
Other Revenue	-
Total Revenues	\$29,657
EXPENDITURES	
Capital Improvements	-
Loan Payments	-
Other Expenditures	-
Total Expenditures	\$0
REVENUES OVER (UNDER) EXPENDITURES	\$29,657
Account Balance, Beginning of Year	\$964,424
Adjustment for Residual Receipt Loans [2]	\$227,261
Adjusted Account Balance, Beginning of Year [3]	\$737,163
Account Balance, End of Year	\$766,820

[1] Interest calculated on end of year balance.

[2] Reflects residual receipt loans for 353 Main Street – ROEM \$227,261.

[3] FY 2024-25 adjusted account beginning of year balance is the end of year balance as reported in FY 2023-24 AB 1600 Annual Report.

There were no capital or other expenditures for Fiscal Year 2024-25 to be reported for the Affordable Housing In-Lieu Account.

Art in Public Places In-Lieu

Table 16 Art in Public Places In-Lieu Account: Statement of Revenue, Expenditures, and Changes in Account Balance for the Fiscal Year Ending June 30, 2025

Description	FY 2024-25
REVENUES	
Fees [1]	-
Interest	-
Deferred Revenue	-
Other Revenue	-
Total Revenues	\$0
EXPENDITURES [1]	
Capital Improvements	-
Loan Payments	-
Other Expenditures	-
Total Expenditures	\$0
REVENUES OVER (UNDER) EXPENDITURES	\$0
Account Balance, Beginning of Year [1]	\$0
Account Balance, End of Year [1]	\$0

[1] No in-lieu fee revenues have been collected since establishment of the program.

There were no capital or other expenditures for Fiscal Year 2024-25 to be reported for the Art in Public Places In-Lieu Account.

Capacity Fees

Wastewater Treatment Capacity Fee

Table 17 Wastewater Treatment Capacity Account: Statement of Revenue, Expenditures, and Changes in Account Balance for the Fiscal Year Ending June 30, 2025

Description	FY 2024-25
REVENUES	
Fees	1,615,592
Interest [1]	-
Deferred Revenue	-
Other Revenue	-
Total Revenues	<u>\$1,615,592</u>
EXPENDITURES	
Capital Improvements	-
Loan Payments	-
Other Expenditures [2]	1,615,592
Total Expenditures	<u>\$1,615,592</u>
REVENUES OVER (UNDER) EXPENDITURES	\$0
Account Balance, Beginning of Year [3]	\$0
Account Balance, End of Year [4]	\$0

[1] Zero interest earned on a zero balance account.

[2,3,4] The Wastewater Treatment Capacity Fee is a pass-through fee collected by the City on behalf of Silicon Valley Clean Water (SVCW). Revenues collected are forwarded to SVCW annually, resulting in a zero beginning and ending year balance.

Wastewater Collection Capacity Fee

Table 18 Wastewater Collection Capacity Account: Statement of Revenue, Expenditures, and Changes in Account Balance for the Fiscal Year Ending June 30, 2025

Description	FY 2024-25
REVENUES	
Fees [1]	\$339,205
Interest [2]	\$111,066
Deferred Revenue	-
Other Revenue	-
Total Revenues	\$450,271
EXPENDITURES	
Capital Improvements	\$121,929
Loan Payments	-
Other Expenditures	-
Total Expenditures	\$121,929
REVENUES OVER (UNDER) EXPENDITURES	\$328,342
Account Balance, Beginning of Year [3]	\$2,543,383
Account Balance, End of Year	\$2,871,725

[1] Fee revenues include revenues from both the former Wastewater Facilities Fee and the current Wastewater Collection Capacity Fee.

[2] Interest calculated on end of year balance.

[3] FY 2024-25 beginning of year balance is the end of year balance as reported in FY 2023-24 AB 1600 Annual Report. Fee formerly referred to as Wastewater Facilities Fee.

Wastewater Collection Capacity Fee

Table 19 Wastewater Collection Capacity Fee: FY 2024-25 Expenditures

Improvement Name	FY 2024-25 Account Expenditures	Total Project Costs	Approximate Date of Project Commencement	FY 2024-25 Expenditures as % of Total Costs
CAPITAL EXPENDITURES				
60" Sewer Discharge Line to Maple Street Pump Station	\$121,929	\$2,181,550	FY 2025-26	6%
Subtotal, Capital Expenditures	<u>\$121,929</u>			
OTHER EXPENDITURES				
No Other Expenditures	\$0			
Subtotal, Other Expenditures	<u>\$0</u>			
TOTAL EXPENDITURES	<u>\$121,929</u>			

Table 20 Water Capacity Fee: Statement of Revenue, Expenditures, and Changes in Account Balance for the Fiscal Year Ending June 30, 2025

Description	FY 2024-25
REVENUES	
Fees [1]	\$556,626
Interest [2]	\$230,557
Deferred Revenue	-
Other Revenue	-
Total Revenues	\$787,183
EXPENDITURES	
Capital Improvements	\$2,525,726
Loan Payments	-
Other Expenditures	-
Total Expenditures	\$2,525,726
REVENUES OVER (UNDER) EXPENDITURES	(\$1,738,543)
Account Balance, Beginning of Year [3]	\$7,699,822
Account Balance, End of Year [4]	\$5,961,279

[1] Includes revenues received under the former water capacity fee and water facilities fee and the new water capacity fee, which replaced and consolidated the former fees and became effective on March 22, 2024.

[2] Interest calculated on end of year balance.

[3] FY 2024-25 beginning of year balance is the end of year balance as reported in FY 2023-24 AB 1600 Annual Report.

[4] Includes all balances and revenues received for former water capacity fee and water facilities fee and the new water capacity fee, which replaced and consolidated the former fees and became effective on March 22, 2024.

Table 21 Water Capacity Fee: FY 2024-25 Expenditures

Improvement Name	FY 2024-25 Account Expenditures	Total Project Costs [1]	Approximate Date of Project Commencement	FY 2024-25 Expenditures as % of Total Costs
<u>CAPITAL EXPENDITURES</u>				
Annual Bond Repayments for Recycled Water Facilities [1] [2]	\$992,466	\$3,969,863	Annual	25.0%
Recycled Water Distribution System Phase 2 Extension	\$1,533,260	\$39,000,000	FY 2024-25	3.9%
Subtotal, Capital Expenditures	\$2,525,726			
<u>OTHER EXPENDITURES</u>				
No Other Expenditures	\$0			
Subtotal, Other Expenditures	\$0			
TOTAL EXPENDITURES	\$2,525,726			

[1] Includes annual bond repayments for recycled water facilities such as tanks and pipe extensions, of which 25% is paid for by fee revenue. Total project costs are based on repayment schedule.

[2] Includes expenditures made with revenues the former water capacity fee and water facilities fee and the new water capacity fee, which replaced and consolidated the former fees and became effective on March 22, 2024.

Approximate Date of Construction

66006(b)(1)(F)

Section 66006 (b) (1) (F) of the Mitigation Fee Act requires an identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement. The City of Redwood City has determined that there are no public improvements for which sufficient funds have been collected to complete financing and begin construction.

Improvements funded with fee revenue are either already under construction and in progress (see FY 2024-25 Expenditures, **Tables 7 through 21**) or identified but still waiting for sufficient funding to accrue before commencing construction (projects identified in **Tables 23 through 29**).

As of October 2023, Section 66006 has been amended to include Sections 66006 (F) (ii) and 66006 (F) (iii) which requires:

- A list of public improvements previously identified in the AB 1600 report (FY 2023-24), along with confirmation of whether construction started as planned; and,
- If construction has not begun by the expected date, an explanation for the delay and a new estimated start date.

Projects listed in the City's prior AB 1600 report (FY 2023-24) as anticipated for commencement in FY 2024-25 are presented in **Table 22**. Details for each project are provided in accordance with Sections 66006(F)(ii) and 66006(F)(iii). As shown, all projects slated to commence in FY 2024-25 are underway or are no longer being pursued.

Table 22 Compliance with 66006(F)(ii) and 66006(F)(iii)

Project	Commenced in FY 2024-25? (Y/N)	Reason for Not Commencing, if Applicable	Estimated Date of Project Completion	Funding Source
Affordable Housing Preservation Program	Y	N/A	Program is ongoing	Affordable Housing Impact Fee
Broadway Plaza	Y	N/A	FY2025-26	Affordable Housing Impact Fee
Nexus Study	Y	N/A	FY26-27	Affordable Housing Impact Fee
Release of Notices of Funding Availability for New Affordable Housing	N	Delayed- Issued in Oct 2025	Funding commitments to be made in March 2025. Construction is TBD	Affordable Housing Impact Fee & Affordable Housing In-Lieu Fee
353 Main Street Affordable Family Apartments	Y	N/A	FY25-26	Affordable Housing In-Lieu Fee
Jardin De Ninos Park Expansion	Y	N/A	FY2025-26	Park Impact Fee
Redwood Shores Playground	N	No funding available	TBD	Park Impact Fee
Broadway and 5th Avenue Intersection Improvements	Y	N/A	Completed	Transportation Impact Fee
Middlefield Road & Jefferson Avenue Operational Improvement	Y	N/A	FY2026-27	Transportation Impact Fee
Middlefield Road & Main Street Operational Improvement	Y	N/A	FY2026-27	Transportation Impact Fee

Interfund Transfers or Loans

66006(b)(1)(G) and 66013(d)(5)

Section 66006 (b) (1) (G) of the Mitigation Fee Act requires a description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended; and, in the case of an interfund loan, the terms of the loan, including the repayment schedule for the loan, and the rate of interest that the account or fund will receive on the loan.

Summary of Refunds

66006(b)(1)(H)

Section 66006 (b) (1) (H) of the Mitigation Fee Act requires a summary of any refunds made, and their respective amount, due to sufficient funds being collected to complete financing of scheduled public improvements and the amount of reallocation of funds made due to administrative costs of refunding unexpended revenues exceeding the amount to be refunded.

At this time, all fees collected have been earmarked for current or future capital projects necessary to maintain the current levels of service to serve new development.

FIVE-YEAR REPORT AND FINDINGS

California Government Code Section 66001(d)(1) requires the City to make findings every fifth year with respect to that portion of each impact fee account that remains unexpended as of June 30, 2025, whether encumbered to a specific project or remaining unencumbered in an impact fee account. Therefore, the City is reporting the following findings relating to each of the fee programs for which a positive account balance is reported.

- 66001(d)(1)(A): Identify the purpose to which the fee is to be put.
- 66001(d)(1)(B): Demonstrate a reasonable relationship between the fee and purpose for which it is charged.
- 66001(d)(1)(C): Identify all sources and amounts of funding anticipated to complete financing in incomplete improvements.
- 66001(d)(1)(D): Designate the approximate dates on which the funding is expected to be deposited into the appropriate account or fund.

The City is not reporting on findings for the Public Art In-Lieu Fee because the program has not collected fee revenue.

Transportation Impact Fee

- The transportation impact fee is a one-time charge that the City charges on new residential and nonresidential development to fund transportation system improvements necessitated in whole or in part by new development within Redwood City. Improvements include construction of capital improvements and traffic reduction measures. The impact fee program provides an equitable method for allocating the cost of reasonable and necessary transportation improvements between the public and private sector, in accordance with the intent and purpose of the Transportation Impact Fee Ordinance as set forth in Redwood City Municipal Code Section 18.244.
- The reasonable relationship between the Transportation Impact Fee and the purposes to which the fee is charged is demonstrated in the Redwood City Traffic Impact Mitigation Fee Study dated February 18, 2000 (2000 Study); the 2012 Redwood City Transportation Impact Mitigation Fee Update, Project Descriptions and Cost Estimates (2012 Study); the 2023 Transportation Fee Nexus Study (2023 Study); the enabling Ordinance, and all subsequent City resolutions, or Conditions of Approval. As specified in the Ordinance, new land development generates traffic, necessitating the acquisition of rights-of-way, road construction, road improvements, pedestrian, bicycle and transit improvements, and traffic reduction measures in order to maintain approved levels of transportation service. The fees established do not exceed new development's fair share.
- There is an unexpended balance in the Transportation Impact Fee Account, which is expected to be used to fund intersection and traffic signal improvements, bike and pedestrian circulation improvements, and other operational improvements. All identified improvements are needed to mitigate the impacts of future development on the City's circulation network. Each project is listed below in **Table 23**. Information about the total project cost, the estimated start year, and other funding sources are noted.

Table 23 Transportation Impact Fee Project Identification

Project	CIP (Y/N)	Estimated Start Year	Total Project Costs	% Funded with Fee Revenue	Amount Funded with Fee Revenue	Other Funding Sources
Bay Road Cycle Track (Woodside Road to Florence Street)	Y	FY 2025-26	\$2,970,000	25%	\$742,500	[1]
Caltrain Grade Crossings	Y	FY 2025-26	\$4,000,000	25%	\$1,000,000	[1]
El Camino Real, traffic safety improvements within City Limits-Vision Zero project	Y	2026-27	\$6,000,000	25%	\$1,500,000	[1]
Industrial Way Cycle Track (City Limit to Whipple Avenue)	Y	2026-27	\$1,080,000	25%	\$270,000	[1]
Intersection Safety Improvements	Y	2025-26	\$6,250,000	25%	\$1,562,500	[1]
Jefferson Avenue (El Camino Real to Farm Hill Boulevard)	Y	FY 2025-26	\$9,845,000	25%	\$2,461,250	[1]
Madison bike safety improvements, Hudson Street to Valota Road	Y	FY 2027-28	\$800,000	25%	\$200,000	[1]
Middlefield Road & Jefferson Avenue Operational Improvement	Y	FY 2025-26	\$55,000	100%	\$55,000	[1]
Middlefield Road & Main Street Operational Improvement	Y	FY 2025-26	\$85,000	100%	\$85,000	[1]
Middlefield Road (from Woodside Road to Douglas Avenue)-Vision Zero project	Y	2027-28	\$2,950,000	25%	\$737,500	[1]
Pedestrian crossing enhancements	Y	2025-26	\$1,500,000	25%	\$375,000	[1]
Redwood City Bike Boulevards	Y	FY 2025-26	\$2,125,000	25%	\$531,250	[1]
Redwood City Bike Lanes	Y	FY 2025-26	\$1,170,000	25%	\$292,500	[1]
Seaport Boulevard Bicycle Path (North of US 101)	Y	2025-26	\$2,500,000	25%	\$625,000	[1]
Seaport Boulevard Path (Blomquist Street to Broadway)	Y	FY 2028-29	\$5,000,000	25%	\$1,250,000	[1]
Traffic signal system upgrade projects	Y	2025-26	\$5,000,000	25%	\$1,250,000	[1]
US 101/Woodside Road Interchange	Y	FY 2028-29	\$122,000,000	24%	\$29,280,000	[1]
TOTAL			\$173,330,000	24%	\$42,217,500	

[1] Measure A (262), Capital Outlay (357), Developer Contribution and Other Grants (264).

Park Impact Fee

- The purpose of the Parks Impact Fee is to augment recreational opportunities through the improvement of parks, as defined in Section 18.257 of the City's Municipal Code, in order to compensate for increased demand for City facilities and services brought about by new development and the associated increase in population.
- In FY 2024-25, the City's service standard was 2.75 acres of park area for every 1,000 residents/resident-equivalents. The City established the proportionate use of and demand for parks by residents and workers in the City. These established standards/needs and metrics ensure a reasonable relationship between the land uses paying the fees and the identified public facilities. The reasonable relationship between the Parks Impact Fee and the purpose for which it is charged is demonstrated in the adopted Nexus Analysis for Redwood City Park Fee Update (2022 Study).
- The unexpended balance will be used for land acquisition for new parks (e.g., Downtown Neighborhood and Mt. Carmel/ Eagle Hill/ Edgewood Neighborhoods) and the conversion of traffic islands to pocket parks, as well as capacity-enhancing improvements to existing parks and recreation centers, and synthetic turf projects. All identified improvements are needed to mitigate the impacts of future development on the City's park and recreation network. Each project is listed below in **Table 24**. Information about the total project cost, the estimated start year, and other funding sources are noted.

Table 24 Parks Impact Fee Project Identification

Project	CIP (Y/N)	Estimated Start Year	Total Project Costs	% Funded with Fee Revenue	Amount Funded with Fee Revenue	Other Funding Sources
MISCELLANEOUS PARK PROJECTS						
Downtown Park Planning/Construction	Y	2028	\$11,000,000	75%	\$7,000,000	[1]
Bayfront Park	Y	2030	\$9,500,000	63%	\$6,000,000	[1]
Redwood Creek Loop	Y	within 10 Years	\$10,000,000	100%	\$10,000,000	[1]
Community Garden / Recreation Space - Maple/Lathrop	Y	2028	\$1,000,000	50%	\$500,000	[1]
SYNTHETIC TURF PROJECTS						
Garfield School Synthetic Turf Project	Y	within 10 Years	\$1,500,000	100%	\$1,500,000	[1]
John Gill School Synthetic Turf Project	Y	within 10 Years	\$1,500,000	100%	\$1,500,000	[1]
Roosevelt School Synthetic Turf Project	Y	within 10 Years	\$1,500,000	100%	\$1,500,000	[1]
Taft School Synthetic Turf Project	Y	within 10 Years	\$2,000,000	100%	\$2,000,000	[1]
LAND ACQUISITION & DEVELOPMENT OPTIONS						
Canyon Neighborhood (1,227) -Development	Y	within 20 Years	\$6,082,000	100%	\$6,082,000	[1]
Centennial Neighborhood (3,116) -Development	Y	within 20 Years	\$15,916,000	100%	\$15,916,000	[1]
Centennial Neighborhood (3,116) -Land	Y	within 20 Years	\$30,760,710	100%	\$30,760,710	[1]
City Wide (84,292) -Development	Y	within 20 Years	\$104,354,000	100%	\$104,354,000	[1]
City Wide (84,292) -Land	Y	within 20 Years	\$201,684,037	100%	\$201,684,037	[1]
Downtown Neighborhood (4,185) -Development	Y	within 20 Years	\$24,860,000	100%	\$24,860,000	[1]
Downtown Neighborhood (4,185) -Land	Y	within 20 Years	\$48,046,698	100%	\$48,046,698	[1]
Friendly Acres Neighborhood (4,185) -Land	Y	within 20 Years	\$6,629,130	100%	\$6,629,130	[1]
Friendly Acres Neighborhood (4,185) -Development	Y	within 20 Years	\$3,430,000	100%	\$3,430,000	[1]
Improvements Next To Existing City Parks: Dove Beeger, Fleischman, Garrett, Hawes, Jardin, Linden, Maddux, Palm, Stafford, Red Morton, Stulsaff, Union Cemetery, Westwood -Development	Y	within 20 Years	\$6,082,000	100%	\$6,082,000	[1]
Improvements Next To Existing City Parks: Dove Beeger, Fleischman, Garrett, Hawes, Jardin, Linden, Maddux, Palm, Stafford, Red Morton, Stulsaff, Union Cemetery, Westwood -Land	Y	within 20 Years	\$392,954,734	100%	\$392,954,734	[1]
Mt Carmel/Eagle Hill/Edgewood Neighborhoods (8,511) -Development	Y	within 20 Years	\$46,526,000	100%	\$46,526,000	[1]
Mt Carmel/Eagle Hill/Edgewood Neighborhoods (8,511) -Land	Y	within 20 Years	\$89,920,381	100%	\$89,920,381	[1]
Redwood Oaks Neighborhood (4,852) -Development	Y	within 20 Years	\$27,012,000	100%	\$27,012,000	[1]
Redwood Oaks Neighborhood (4,852) -Land	Y	within 20 Years	\$52,205,849	100%	\$52,205,849	[1]
CONVERT TRAFFIC ISLANDS TO POCKET PARKS						
Buckeye Comer	Y	within 10 Years	\$260,000	100%	\$260,000	[1]
Dinghee Circle	Y	within 10 Years	\$580,000	100%	\$580,000	[1]
Laurie Duncan Parkway	Y	within 10 Years	\$1,480,000	100%	\$1,480,000	[1]
AMENITY IMPROVEMENTS						
Athletic Field Lights	Y	within 20 Years	\$2,500,000	100%	\$2,500,000	[1]
Dove Beeger Park Restroom	Y	within 10 Years	\$400,000	100%	\$400,000	[1]
Garrett Park Restroom	Y	2028	\$400,000	100%	\$400,000	[1]
Palm Park Restroom	Y	2028	\$1,400,000	100%	\$1,400,000	[1]
Park Shade Structures	Y	within 10 Years	\$100,000	100%	\$100,000	[1]
Pathway Improvements	Y	within 10 Years	\$500,000	60%	\$300,000	[1]
City Wide Play Equipment Program	Y	within 5 Years	\$1,250,000	60%	\$750,000	[1]
Porta Play Rotating Play Features	Y	within 10 Years	\$2,000,000	100%	\$2,000,000	[1]
Recreation Facility Program	Y	within 20 Years	\$10,000,000	100%	\$10,000,000	[1]
Tot Lot Amenities (various parks)	Y	within 10 Years	\$2,000,000	100%	\$2,000,000	[1]
PARK RENOVATION PROJECTS						
Armory Recreation Center Renovation	Y	2028	\$1,000,000	100%	\$1,000,000	[1]
Garrett Park Expansion / Renovation	Y	2028	\$6,082,000	100%	\$6,082,000	[1]
Jardin de Ninos Park Expansion	Y	within 10 Years	\$300,000	100%	\$300,000	[1]
Redwood Shores Playground	Y	within 10 Years	\$500,000	100%	\$500,000	[1]
Spinas Park Renovation	Y	within 10 Years	\$2,000,000	100%	\$2,000,000	[1]
Union Cemetery Renovation	Y	within 10 Years	\$150,000	100%	\$150,000	[1]
SPORTS COMPLEX PROJECTS						
Small Sports Complex (4 Basketball/ 2 Soccer)	Y	within 20 Years	\$52,788,438	100%	\$52,788,438	[1]
Medium Sports Complex (8 Basketball/ 4 Soccer)	Y	within 20 Years	\$105,576,876	100%	\$105,576,876	[1]
Large Sports Complex (12 Basketball/ 6 Soccer)	Y	within 20 Years	\$175,961,460	100%	\$175,961,460	[1]
TOTAL			\$1,461,692,314	99%	\$1,452,992,314	

[1] Capital Outlay Fund (Fund 357) or In-Kind Developer Contributions.

Affordable Housing Impact Fee

- The purpose of the Affordable Housing Impact Fee is to (1) enhance the public welfare by imposing an affordable housing impact fee whereby developers of nonresidential development and small residential (5 to 19 units) projects will mitigate the impacts of their projects on the need for affordable housing by contributing to the supply of housing for households with extremely low, very low, low, and moderate incomes; and (2) implement the Housing Element by creating a mechanism to provide benefits to the community from new development in the form of affordable housing, thereby helping to meet the needs of all socioeconomic elements of the community as provided in the Housing Element.
- The Affordable Housing Impact Fee is set to a level which ensures that future development projects mitigate their impact on the need for affordable housing in Redwood City, and to ensure that any adopted housing impact fees do not exceed the actual affordable housing impacts attributable to the development projects to which the fees relate. This reasonable relationship between the fee and the purposes for which it is charged is reflected in the Residential Impact Fee Nexus Study and Commercial Linkage Fee Nexus Study (together, the "2015 Nexus Study"). To ensure that development projects remain economically feasible, the recommended housing impact fees are lower than the maximum amount needed to fully mitigate the burdens created by new development on the need for affordable housing as determined by the Nexus Study.
- There is an unexpended balance in the Affordable Housing Impact Fee Account, which is expected to be used to fund the development of new affordable housing and the preservation of existing affordable housing so as not to erode the current supply (e.g., the City's Affordable Housing Preservation Program). The City funds the development of new affordable housing through the regular release of Notices of Funding Availability (NOFAs). Information about typical NOFA award amounts, the estimated start year, and other funding sources are noted below.

Table 25 Affordable Housing Impact Fee Project Identification

Project	CIP (Y/N)	Estimated Start Year	Total Project Costs	% Funded with Fee Revenue	Amount Funded with Fee Revenue	Other Funding Sources
Broadway Plaza	N	FY 2025-26	\$20,000	100%	\$20,000	N/A
Affordable Housing Preservation Program [1]	N	FY 2024-25	\$6,860,237	45%	\$3,098,800	Permanent Local Housing Allocation (PLHA), Affordable Housing In-Lieu, Housing Support Fund, Prohousing Incentive Program (PIP), Former RDA LMIHF
Release of Notices of Funding Availability for New Affordable Housing [2]	N	FY 2025-26	\$7,960,000	42%	\$3,310,000	Former RDA LMIHF
Nexus Study	N	FY 2025-26	\$15,000	100%	\$15,000	N/A
TOTAL			\$14,855,237	43%	\$6,443,800	

[1] Specific projects are to be determined as preservation opportunities are identified.

[2] The City released a new affordable housing NOFA in October 2025 for \$7,960,000. Specific projects are to be determined. Funding amounts awarded to projects will vary based on account balance (in the Affordable Housing Impact Fee account and the Inclusionary Housing In-Lieu Fee account) at the time of the NOFA and specific needs of the selected projects. Funding awards are typically at least \$1 million and often more.

Downtown Parking In-Lieu Fee

- The Downtown Parking In-Lieu Fee allows new developments located within the Downtown Parking Zone, subject to the eligibility requirements of the program, to provide a fee payment in lieu of providing parking spaces onsite. The fee is used to expand the capacity of parking spaces for public use within the Downtown Parking Zone and may also be used to manage demand for parking through the creation of a Transportation Demand Management program.
- An “in-lieu” fee is different than a development “impact fee” in that the fee is established as an alternative means of complying with a zoning requirement. It is voluntary in nature, meaning the developer may choose whether to comply with the zoning requirement or pay an in-lieu fee. The fee is not “imposed” on a developer by Redwood City. The City’s Zoning Code determines the number of parking spaces that a developer must provide so that new trips do not cause a negative impact on the existing parking supply, vibrancy of downtown, or public safety. Thus, a reasonable relationship between the need for public parking facilities and the type of development is already established by imposing specific parking requirements through the zoning ordinance. The amount of the parking-in lieu fee is reflected in the In-Lieu Parking Fee Study conducted for the City in 2015 and, at \$25,000 per space, does not exceed the City's actual costs of providing one parking space.
- There is an unexpended balance in the parking-in lieu fee account, which is expected to be used to fund the County Parking Garage Permit System and Program as well as costs related to the establishment of the Transportation Demand Management Program. All identified improvements are needed to mitigate the impacts of future development on the City’s supply of parking. Each project is listed below in **Table 26**. Information about the total project cost, the estimated start year, and other funding sources are noted.

Table 26 Parking In-Lieu Fee Project Identification

Project	CIP (Y/N)	Estimated Start Year	Total Project Costs	% Funded with Fee Revenue	Amount Funded with Fee Revenue	Potential Other Funding Sources
County Parking Garage Permit Program	N	FY 2025-26	\$4,000,000	100%	\$4,000,000	County Funds; Parking Fund
Transportation Demand Management (TDM) Initiation Costs	N	FY 2023-24	\$400,000	100%	\$400,000	Transportation Demand Management (TDM) Fees; Parking Fund
Garage Parking System	Y	FY 2023-24	\$700,000	100%	\$700,000	All project costs are anticipated to be funded with parking in- lieu fee revenue. No other funding sources are required.
Shared Parking Program	N	FY 2025-26	\$500,000	100%	\$500,000	
Expand Active Parking Management Program	Y	FY 2025-26	\$1,790,000	100%	\$1,790,000	
Downtown Parking Lot Modifications	Y	FY 2026-27	\$2,500,000	100%	\$2,500,000	
TOTAL			\$9,890,000	100%	\$9,890,000	

Affordable Housing In-Lieu Fee

- The City may accept payment of an Affordable Housing In-Lieu Fee for fractional units resulting from the calculation of the City's inclusionary housing requirements. The City may also accept payments of an Affordable Housing In-Lieu Fee in place of construction of on-site units if certain findings can be made pursuant to Section 29.8.B. of the City's zoning code. Similar to the Affordable Housing Impact Fee, the purpose of the fee is to provide housing affordable to extremely low-, very low-, low-, and moderate-income households in the City, consistent with the goals and policies contained in the City's Housing Element.
- An "in-lieu" fee is different than the development "impact fee." It is voluntary in nature and is not being "imposed" on a developer by Redwood City. Furthermore, the affordable housing in-lieu fee for fractional units shall not exceed the fractional cost of providing an affordable unit. This reasonable relationship between the fee and the purpose for which it is charged is reflected in the City's Municipal Code.
- There is an unexpended balance in the Affordable Housing In-Lieu Fee Account, which is expected to be used to fund the development of new affordable housing through the regular release of Notices of Funding Availability (NOFAs). Information about typical NOFA award amounts, the estimated start year, and other funding sources are noted below in **Table 27**.

Table 27 Affordable Housing In-Lieu Fee Project Identification

Project	CIP (Y/N)	Estimated Start Year	Total Project Costs	% Funded with Fee Revenue	Amount Funded with Fee Revenue	Other Funding Sources
353 Main Street Affordable Family Apartments [1]	N	FY 2025-26	\$3,500,000	10%	\$350,000	Former RDA LMIHF, Affordable Housing Impact Fee
Affordable Housing Preservation Program [2]	N	FY 2024-25	\$6,860,237	6%	\$416,820	Permanent Local Housing Allocation (PLHA), Affordable Housing Impact, Housing Support
TOTAL			\$10,360,237	7%	\$766,820	

[1] A \$3.5 million residual receipt loan was provided to the 353 Main St. project comprised of RDA Low Mod funds (\$2,410,325),

[2] Specific projects are to be determined as preservation opportunities are identified.

Art in Public Places In-Lieu Fee

- The Art-in-Public Places In-Lieu Fee allows new commercial developments exceeding 50,000 square feet to make a payment instead of installing on-site art. The fee revenue, when collected, is used to fund the provision of public art within the City. Major commercial developments can be iconic representations of the City's identity, and in establishing the Public Art Fund, the City declared the following:
 - (a) public art is a valuable means of promoting vibrancy, defining cultural uniqueness, building community, and improving the quality of life in the City;
 - (b) the environment, image, and character of the City would be improved by public art;
 - (c) public art helps make cities more livable and more visually stimulating;
 - (d) the presence of and access to public art enlivens the public areas of buildings and their grounds and makes them more welcoming;
 - (e) public art can illuminate the diversity and history of a community, create/nurture/promote positive community interactions and conversation, and foster the economic development of the community.
- No in-lieu fee revenue has been collected from developers since the Art In-Lieu fund was established, and, therefore, the five-year findings are not required. There is \$0 unexpended balance from developers in the Art In-Lieu fee fund and no specific projects to be funded. If a new development pays into the fund, the revenue would be used to fund a public art installation according to the procedures outlined in the enabling Ordinance.

Water and Wastewater Capacity Fees

The water and wastewater capacity and facility fees are subject to the reporting requirements in Government Code section 66013(d), rather than the requirements in sections 66006(b) and 66001(d). Since the information required by sections 66006(b) and 66001(d) largely encompasses the information required by 66013(d), the City is complying with the water and wastewater capacity and facilities fee reporting requirements by including them in the prior section of this AB 1600 report.

In addition to reporting on future projects, the following sections specifically satisfy Government Code Section 66013(d)(4)(C) by identifying each public improvement that is anticipated to be undertaken in the following fiscal year (FY 2025-26).

Wastewater Treatment Capacity Fee

Wastewater Treatment Capacity fees are deposited into Account 688 and passed through to Silicon Valley Clean Water at the close of the fiscal year. As such, the Water Treatment Capacity account balance is \$0 each year, and the City does not control project-specific expenditures and cannot report on public improvements anticipated to be undertaken in FY 2025-26.

Wastewater Collection Capacity Fee

The following section identifies future projects and also specifically satisfies Government Code Section 66013(d)(4)(C) by identifying each public improvement that is anticipated to be undertaken in the following fiscal year.

- The Wastewater Collection Capacity Fee was established to fund a proportionate share of the costs of existing and future wastewater system facilities and assets that are reasonably necessary to provide wastewater collection capacity to new development.
- The City charges a Wastewater Collection Capacity Fee to provide for the use and construction of existing and future sanitary sewerage system capital facilities in accordance with the City's Capital Improvements Program adopted by the City Council. The fees are based on an average cost approach under which new or expanded developments would fund their proportionate share of costs for existing and planned wastewater system facilities and assets.
- There is an unexpended balance in the Wastewater Collection Capacity Fee account which is expected to be used to fund capacity expansion projects including the Veterans Sewer Interceptor the Walnut Street Sewer Interceptor, pump station improvements, and upsizing of the C3 Sewer Trunk Main. All identified improvements are needed to mitigate the impacts of future development on the City's wastewater facilities. Each project is listed below in **Table 28**. Information about the total project cost, the estimated start year, and other funding sources are noted.

Table 28 Wastewater Collection Capacity Fee Project Identification

Project	CIP (Y/N)	Estimated Start Year	Total Project Costs	% Funded with Fee Revenue	Amount Funded with Fee Revenue	Other Funding Sources
Walnut Street Sewer main Upsizing (C2, C4, B6)	Y	Next 5 Years	\$6,000,000	7%	\$400,000	Only a portion of the improvements are related to capacity- the remaining project costs will be funded by rate revenues.
Capacity Projects (C1, C3, C7, B1, B2, B3, B4, B5, D1, D2, D3)	Y	Next 5 - 15 Years	\$28,000,000	10%	\$2,800,000	
Sewer Capacity Improvement Project - C12, C13, C3	Y	FY 2025-26	\$13,392,000	10%	\$1,283,000	Only a portion of the improvements are related to capacity- the remaining project costs will be funded by rate revenues.
60" Sewer Discharge Line to Maple Street Pump Station	Y	FY 2025-26	\$2,181,550	100%	\$2,181,550	
TOTAL			\$49,573,550	13%	\$6,664,550	

Water Capacity Fee

The following section identifies future projects and also specifically satisfies Government Code Section 66013(d)(4)(C) by identifying each public improvement that is anticipated to be undertaken in the following fiscal year.

- The Water Capacity Fee is a one-time charge that the City imposes on residential and non-residential customers to fund a proportionate share of the costs of existing and future water system facilities and assets that are reasonably necessary to provide potable and recycled water capacity for new development.
- The fees are based on an average cost approach under which new or expanded developments would fund their proportionate share of costs for existing and planned water capacity improvements.
- There is an unexpended balance in the Water Capacity Fee Account, which is expected to be used to fund capacity expansion projects including the Phase 2 Extension of the Recycled Water Distribution System, capacity expanding improvements to the Main City Recycled Water Tank and Pump Station, and other Recycled Water Quality Improvements that reduce demand for potable water.
- All identified improvements are needed to mitigate the impacts of future development on the City's water capacity. Each project is listed below in **Table 29**. Information about the

total project cost, the estimated start year, and other funding sources are noted. None of the identified projects are expected to commence in FY 2025-26, however, they are all expected to commence within the next five years.

Table 29 Water Capacity Project Identification

Project	CIP (Y/N)	Estimated Start Year	Total Project Costs	% Funded with Fee Revenue	Amount Funded with Fee Revenue	Other Funding Sources
Recycled Water Distribution System Phase 2 Extension	Y	FY 2024-25	\$39,000,000	21%	\$8,190,000	Water rate revenue enterprise funds.
Main City Potable Water Tank and Pump Station	Y	Next 5 Years	\$41,662,927	20%	\$8,370,000	Water rate revenue enterprise funds.
Annual Bond Repayments for Recycled Water Facilities [1]	Y	Annual	\$3,969,863	25%	\$992,466	Water rate revenue enterprise funds.
TOTAL			\$84,632,790	21%	\$17,552,466	

[1] Includes annual bond repayments for recycled water facilities such as tanks and pipe extensions, of which 25% is paid for by fee revenue. Total project costs are based on repayment schedule.